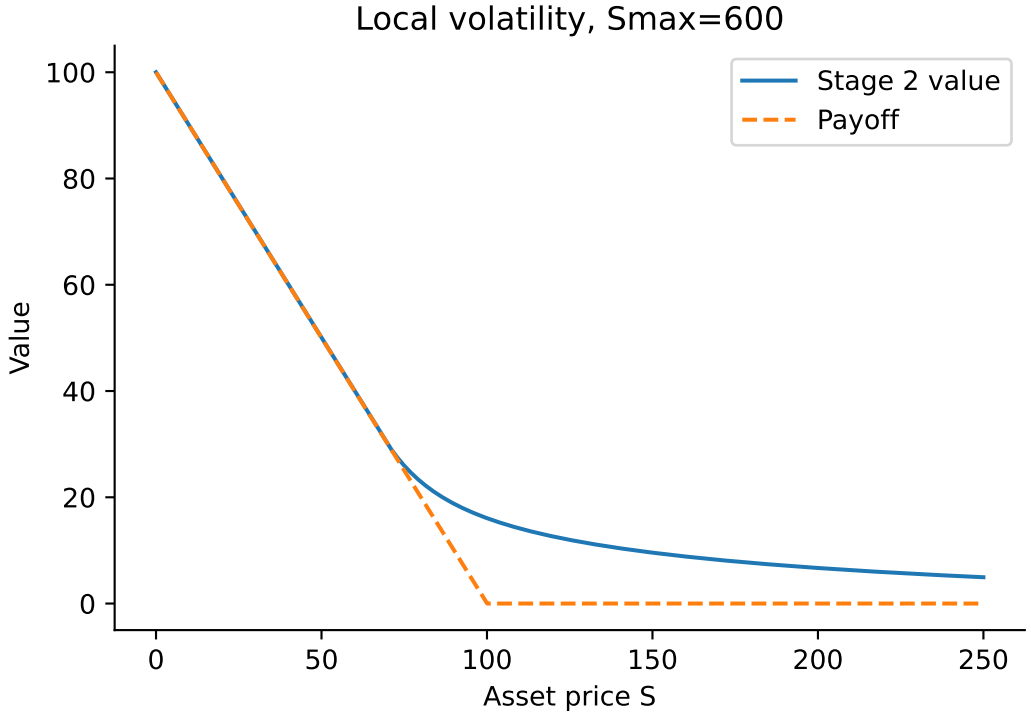
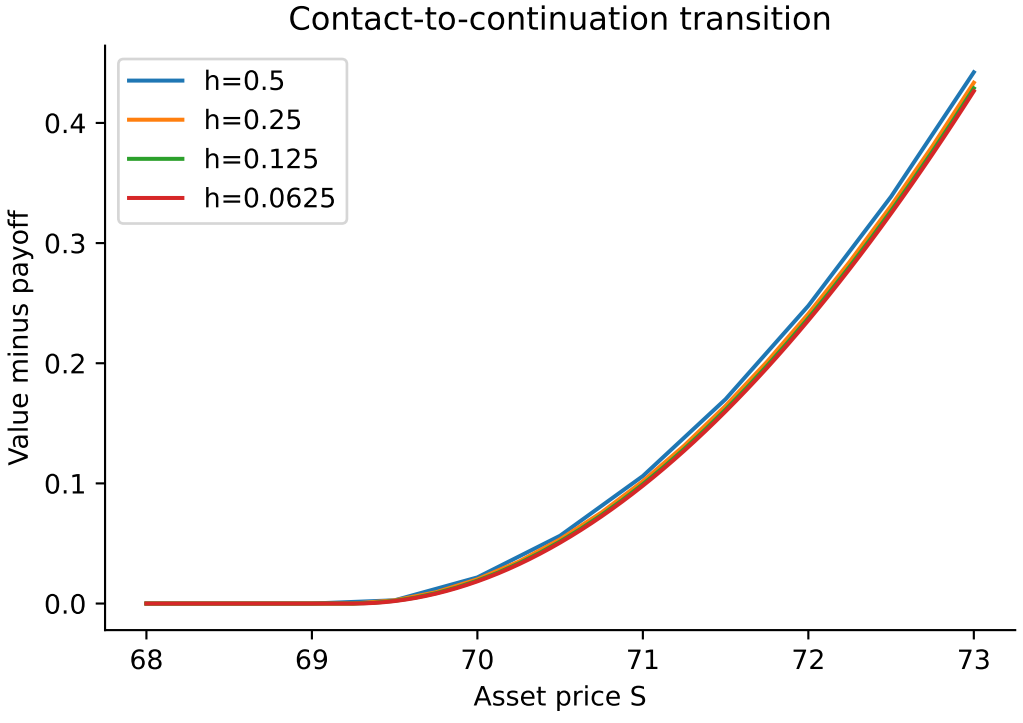

Local volatility, Smax=600
Stage 2 value
Payoff
Value
Asset price S
0
20
40
60
80
100
0
50
100
150
200
250


Contact-to-continuation transition
h=0.5
h=0.25
h=0.125
h=0.0625
Value minus payoff
Asset price S
0.0
0.1
0.2
0.3
0.4
68
69
70
71
72
73